# Question 1: Solution

**Batcat plc**

**1. Product B**

IAS 2 *Inventories* requires the cost of inventories to include all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition such as raw material and direct wages. **(1 mark)**

*Variable costs of production*

IAS 2 excludes general administrative overheads from inventories costs, so 10% of power costs and 55% of administrative expenses that relate to general administrative overheads must be excluded. **(1 mark)**

Depreciation of production machinery is an allowable cost of conversion. **(1 mark)**

| | **£'000** |
|---|---|
| **Variable costs** | |
| Raw materials | 1,257 |
| Direct wages | 563 |
| Power costs (90% x £260,000) | 234 |
| Production administration (60% x 45% x £140,000) | 38 |
| **Total variable costs** | 2,092 |

**Raw materials and direct wages (1 mark)**

**Power costs (1 mark)**

**Production administration (1 mark)**

**Note:** Variable costs are allocated to the products based on actual volume of production.

| | **£'000** |
|---|---|
| **Fixed costs** | |
| Production administration (40% x 45% x £140,000) | 25 |
| Rent of factory | 75 |
| Depreciation charge on production machinery | 43 |
| | 143 |
| **Total potentially allowable costs** | 2,235 |

**Production administration (1 mark)**

**Rent and depreciation (1 mark)**

*Fixed costs of production*

The allocation of fixed production overheads is based on the normal capacity. Since production in July 20X9 was lower than normal, fixed production overheads must be restricted. **(1 mark)**

| | **£'000** |
|---|---|
| Variable costs | 2,092 |
| Fixed costs ([3,200 / 3,500 units] x £143,000) | 131 |
| **Total allowable costs** | 2,223 |

**(1 mark)**

The cost of closing inventories must be compared to their net realisable value as IAS 2 requires inventories to be measured at the lower of the two. **(1 mark)**

Net realisable value is the estimated selling cost, less costs required to make the sale.**(1 mark)**

Cost per unit = £2,223,000 / 3,200 units produced = £695

**(1 mark)**

Net realisable value per unit = £725 - (£216,000 / 4,000 units sold) = £671

**(1 mark)**

Cost of closing inventories = £671 x 690 units = £462,990

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Inventories | 463 | |
| | Cr SPL – cost of sales | | 463 |

Being recognition of closing inventories

**(1 mark)**

**Total marks (16 marks)**

# Question 2: Solution

**Bridges plc**

*Warehouse Factory*

Inventory should be measured at the lower of cost and NRV on an item by item basis.

**(1 mark)**

*Toolboxes*

A cutting fault with the toolboxes is an example of an abnormal cost, which is not an allowable cost so the 50% of material cost due to the fault will be included in cost of sales.

**(1 mark)**

Production overheads are allowable costs and are therefore included in the cost of inventory but these need to be restricted to the materials that were not wasted.

**(1 mark)**

The 20% of labour costs which were also incurred as a result of the cutting fault must also be included within cost of sales and cannot form part of the cost of closing inventories.

**(1 mark)**

General administration are not permitted to be included in the cost of inventories per IAS 2 and these costs should be included as an expense in the statement of profit or loss.

**(1 mark)**

| | **£/unit** | |
|---|---|---|
| Materials (50% x [£600 / 1,000 toolboxes]) | 0.30 | **(1 mark)** |
| Production overhead (50% x [£1,800 / 1,000 toolboxes]) | 0.90 | **(1 mark)** |
| Labour (80% x [£3,500 / 1,000 toolboxes]) | 2.80 | **(1 mark)** |
| **Cost per toolbox** | 4.00 | **Per unit (1 mark)** |

The toolboxes have a cost of £4 each. The NRV for the toolboxes is £8 each (being the selling price). As the cost is lower, the carrying amount of the inventory should be calculated using £4.

**(1 mark)**

Closing inventories = 300 toolboxes x £4 = £1,200

**(1 mark)**

Unit cost and closing inventory cost

**(1 mark)**

*Ladders*

| | £/unit |
|---|---|
| Materials (£500 / 500 ladders) | 1.00 |
| Production overhead (3 x £1) | 3.00 |
| Labour (£2,000 / 500 ladders) | 4.00 |
| **Cost per ladder** | 8.00 |

**(1 mark)**

The ladders have a cost of £8 each. The NRV for the ladders is £15 each (being the selling price). As the cost is lower, the carrying amount of the inventory should be calculated using £8.

**(1 mark)**

Closing inventories = 200 ladders x £8 = £1,600

Unit cost and closing inventory cost

**(1 mark)**

**Total marks (15 marks)**

# Question 3: Solution

**Nuclear Chips plc**

1.
As is required by IAS 8 *Basis of Preparation* of Financial Statements, the review of accounting estimates has been done at the reporting date.

**(1 mark)**

IAS 8 requires that the nature and amounts of changes in accounting estimates should be disclosed.

**(1 mark)**

However, IFRS 18 *Presentation and Disclosure in Financial Statements* states that if amounts are not material, no disclosure is required.

**(1 mark)**

**Issue 1 - proposed change of depreciation method**

IAS 16 *Property, Plant and Equipment* requires the use of a depreciation method that reflects the consumption of an asset's future economic benefits. The current straight-line method of depreciation complies with this.

**(1 mark)**

IAS 16 also prohibits the use of a depreciation method that reflects revenue patterns, unless it reflects the consumption of an asset's future economic benefit. The managing director's proposal does not comply with IAS 16.

**(1 mark)**

If a change in depreciation method is determined to be more appropriate, this is regarded as a change in accounting estimates, not changes in accounting policies or the correction of previous errors.

**(1 mark)**

In the case of a change in method, the new method will be applied to the carrying amount.

**(1 mark)**

**Issue 2 - residual values**

Depreciation estimates include residual value assessments. There has been a downward change in the residual valuation as the assets are expected to be sold for their scrap value.

**(1 mark)**

This change to residual value will give rise to an increase in the depreciation charge. The carrying amount will be calculated at the date of the change and the new circumstances applied to it.

**(1 mark)**

In the case of a change to residual value, the carrying amount less the new residual value will be spread equally over the remaining life.

**(1 mark)**

2.
*Issue*

The finance director's suggestions to change the depreciation method and ignore residual value, and not to provide explanations to the directors, are an ethical threat as they are not in keeping with IFRS Accounting Standards and appear to have been suggested for the purposes of maximising profits.

**(1 mark)**

*Integrity*

There is a threat to the fundamental principle of integrity as the finance director is not being straightforward and honest with the directors about the proposed changes.

**(1 mark)**

*Objectivity*

Objectivity is threatened as the managing director is considering the creation of a profit value to achieve a bonus.

**(1 mark)**

*Professional behaviour*

There is also a threat to professional competence and due care as the finance director does not appear to understand the requirements of the IFRS Accounting Standards.

**(1 mark)**

**Total marks (14 marks)**

# Question 4: Solution

**Column Properties Ltd**

*Property X*

Property X is held for capital appreciation and is therefore classified as an investment property.

**(1 mark)**

The property is initially measured at its cost of £4,750,000 (including acquisition costs).

**(1 mark)**

At the year end, the property should be measured at its fair value of £4,900,000 and the £150,000 (£4,900,000 - £4,750,000) fair value gain should be credited to the operating category of the statement of profit or loss.If the gain is considered to be material it would be disaggregated and presented separately on the face of the statement of profit or loss.

**(2 marks)**

*Property Z*

Property Z is both investment property and part owner occupied. In this situation, if the separate parts of the property could be sold separately, each part is accounted for separately by applying IAS 40 and IAS 16 respectively.

**(1 mark)**

If this is not possible, the property must be accounted for by applying a single, most appropriate IFRS Accounting Standard.

**(1 mark)**

Column's head office (the owner-occupied portion) is a single room in a multimillion-pound property. IAS 40 does not define 'insignificant', however, in this scenario, it appears to be the case.

**(1 mark)**

As a result, the property can be considered an investment property in its entirety, as it is held to earn rental income and will be accounted for under IAS 40.

**(1 mark)**

To determine the fair value of Property Z, the company should use an independent, professionally qualified valuer.

**(1 mark)**

Assuming that they agree the director's valuation, Property Z will remain measured at £7,200,000 at 31 January 20X4 and there will be no gain or loss recognised in the statement of profit or loss.

**(1 mark)**

**Total marks (7 marks)**

# Question 5: Solution

**Cruickshank Ltd**

***Quota***

*Initial measurement*

The quota is an identifiable intangible asset as it has been acquired. The quota should be capitalised as an intangible asset rather than expensed and amortised over its assumed 20-year useful life.

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Quota – cost | 1,000 | |
| | Cr SPL – general and administrative expenses | | 1,000 |
| Being correction to capitalise quota | | | |

**(1 mark)**

*Subsequent measurement*

Amortisation charge = 10/240 years x £1,000,000 = £42,000

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | SPL – amortisation expense | 42 | |
| | Cr Quota – accumulated amortisation | | 42 |
| Being amortisation of quota | | | |

**(1 mark)**

As an active market exists, the quota should subsequently be measured at its fair value.

**(1 mark)**

| | **£'000** |
|---|---|
| Cost | 1,000 |
| Accumulated amortisation (above) | (42) |
| Carrying amount | 958 |
| Fair value (1,000 tonnes x £1,400) | 1,400 |
| **Revaluation increase** | 442 |

**(1 mark)**

| | | | |
|---|---|---|---|
| Dr | Quota – cost | 400 | |
| Dr | Quota – accumulated amortisation | 42 | |
| | Cr Revaluation surplus | | 442 |
| Being revaluation increase on quota | | | |

**(1 mark)**

***Licence***

The licence is an identifiable intangible asset and should be capitalised at its fair value of £500,000, with an accrual created for the outstanding £100,000 payment.

**(1 mark)**

The licence should be capitalised rather than expensed and then amortised over its 8-year useful life.

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Licence – cost | 500 | |
| | Cr SPL – general and administrative expenses | | 400 |
| | Cr Accruals | | 100 |

Being correction to capitalise licence

**(1 mark)**

Amortisation charge = 6/96 months x £500,000 = £31,000

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | SPL – amortisation charge | 31 | |
| | Cr Licence – accumulated amortisation | | 31 |

Being amortisation of licence

**(1 mark)**

***Domain names***

The domain name is identifiable as it has a legal right. The domain is controlled through the legal right and generates economic benefit through revenue.

The new domain name should be capitalised and amortised, with the old domain name disposed of at a loss.

**(1 mark)**

*New domain*

Amortisation charge = 1/8 years x £10,000 = £1,000

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Domain name – cost | 10 | |
| | Cr SPL – general and administrative expense | | 10 |

Being correction to capitalise new domain name

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | SPL – amortisation charge | 1 | |
| | Cr Domain name – accumulated amortisation | | 1 |

Being amortisation of new domain name

**(1 mark)**

*Old domain*

| | £'000 |
|---|---|
| Cost | 4 |
| Accumulated amortisation (30/60 months x £4k) | (2) |
| Loss on disposal | 2 |

**(1 mark)**

| | | £'000 | £'000 |
|---|---|---|---|
| Dr | SPL – loss on disposal | 2 | |
| Dr | Domain name – accumulated amortisation | 2 | |
| | Cr Domain name – cost | | 4 |

Being disposal of old domain name

**(1 mark)**

**Total marks (18 marks)**

# Question 6: Solution

**Ceylon plc**

***Brand***

IAS 38 *Intangible Assets* is specific that internally generated brands may not be capitalised as the cost of identifying the brand cannot be distinguished from the costs of developing the business as a whole.

**(1 mark)**

***Safety spout***

Development expenditure, being the application of research findings, must be capitalised once the relevant criteria have been met. Ceylon appears to have met the criteria in June 20X5, when the directors confirmed their intention to produce the spout as it was economically viable.

**(1 mark)**

All costs incurred prior to June 20X5 are recognised as an expense. There is no adjustment required in respect of amounts recognised as an expense in prior years.

**(1 mark)**

The £78,000 of expenditure incurred from June 20X5 to 30 November 20X5 should be capitalised when the spout is brought into use on 1 December 20X5.

**(1 mark)**

The depreciation charge on plant and machinery used in development between June and November 20X5 should also be capitalised as part of the cost of the intangible asset as permitted by IAS 38.

**(1 mark)**

The total development cost is therefore £89,000 (£78,000 + capitalised depreciation charge = 6/12 months x £22,000 = £11,000).

**(1 mark)**

From 1 December 20X5, the development expenditure should be amortised over the useful life of 3 years. The amortization charge for the year ended 31 December 20X5 amounts to £89,000 x 1/36 = £2,472.

**(1 mark)**

***Eco-friendly teapot***

The criteria for development have not been met as there is no active market and insufficient information to assess other requirements. The research expenditure must therefore be written off to profit or loss and not recognised as an asset.

**(1 mark)**

***Disclosure for intangible assets (extracts)***

*Development costs accounting policy note*

Development costs are recognised as intangible assets when the following criteria are met:

- It is technically feasible to complete the product so that it is available for use.
- Management controls and intends to complete the product for use in the business.
- There is an ability to use or sell the product.
- It can be demonstrated how the product will generate probable economic benefits in the future.
- Adequate technical, financial and other resources are available to complete the project.

**(2 marks)**

Capitalised development costs are amortised on a straight-line basis over their expected economic lives of 3 years.

**(1 mark)**

*Intangible assets note*

| | **Development costs £'000** |
|---|---|
| **Cost** | |
| At 1 January 20X5 | - |
| Additions for the year | 89 |
| Disposals for the year | - |
| **At 31 December 20X5** | **89** |
| | |
| **Accumulated amortisation** | **£'000** |
| At 1 January 20X5 | - |
| Charge for the year | 2 |
| Eliminated on disposal | - |
| **At 31 December 20X5** | **-** |
| | |
| **Carrying amount** | **£'000** |
| At 1 January 20X5 | - |
| **At 31 December 20X5** | **87** |

**(3 marks)**

**Total marks (14 marks)**

# Question 7: Solution

**Safety Critical E-learning plc**

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are included in the cost of the asset.

**(1 mark)**

A 'qualifying asset' is one that necessarily takes a substantial period of time to get ready for its intended use or sale, such as the development of the new delivery platform which will take 2 years. Other borrowing costs are recognised as an expense.

**(1 mark)**

Where borrowing costs relate to a specific financing arrangement for a qualifying asset – in this case, the drawdown of the loan is specifically for the development phase – the amount that can be capitalised is the actual borrowing costs during the period less any investment income on the temporary investment of these borrowings.

**(1 mark)**

Capitalisation should start when expenditure on the asset and borrowing costs are being incurred – in this case, 1 October 20X1.

**(1 mark)**

Capitalisation should be suspended during extended periods of inactivity. As coding was halted for 2 months due to the cyberattack, only interest from 7 of the 9 months of the period from drawdown to the financial year end can be capitalised (October to December 20X1 and March to June 20X2).

**(1 mark)**

Capitalisation should cease when substantially all activities are complete, even if the loan has not been repaid – the development has not been completed at the year end.

**(1 mark)**

Borrowing costs = 7/12 months x 5.5% x £1,800,000 = £58,000

**(1 mark)**

The amount of interest that must be capitalised is £28,000 (£58,000 - £30,000) after netting off interest received.

**(1 mark)**

Safety should disclose that £28,000 was capitalised during the period and also the capitalisation rate used to calculate borrowing costs eligible for capitalisation of 5.5%.

**(1 mark)**

**Total marks (9 marks)**

# Question 8: Solution

**Zeltec plc**

The land is only required to be tested for impairment if indicators exist. It appears that the land has been adversely affected by changes to the operating environment, including the market for the sale of crops, caused by the change in government subsidies.

**(1 mark)**

An impairment loss will arise if the recoverable amount of land (the higher of its fair value less costs of disposal and its value in use) is less than its carrying amount of £4,400,000.

**(1 mark)**

The value in use is the present value of future cash flows. As land has an indefinite life, the cash flows should be valued as a perpetuity (a type of cash flow stream that runs forever).

**(1 mark)**

Value in use = (800 hectares x £350)/0.07 = £4,000,000

**(1 mark)**

Fair value less costs of disposal = (800 hectares x £4,800) - £100,000 = £3,740,000

**(1 mark)**

Impairment = £4,400,000 - £4,000,000 = £400,000

**(1 mark)**

The impairment loss should be presented in the operating category of the statement of profit or loss. If it is considered to be material, it will be disaggregated and presented separately.

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | SPL – impairment loss | 400 | |
| | Cr Land | | 400 |

Being impairment of land with an indefinite useful life

**(1 mark)**

**Disclosure for property, plant and equipment (extracts)**

Included in land and building is land with a cost of £4,400,000. During the year, there was a significant change in market conditions with a reduction in government subsidies, resulting in a downturn in future income.

**(1 mark)**

As a result, an impairment loss of £400,000 has been recognised in the statement of profit or loss.

**(1 mark)**

The recoverable amount of the land, valued as its value in use, is deemed to be £4,000,000. The appropriate discount rate to calculate the value in use is 7%.

**(1 mark)**

**Total marks (9 marks)**

# Question 9: Solution

**Meeseeks Ltd**

As none of the assets generate cash flows independently from the rest of the assets in the division, the training academy and driving range should each be treated as cash-generating units (CGUs) when determining whether assets should be impaired.

**(1 mark)**

***Training academy***

Fair value less costs of disposal

Fair value less costs of disposal = £1,470,000 + £700,000 = £2,170,000.

**(1 mark)**

This is higher than the value in use of £2,157,000 and therefore the recoverable amount is £2,170,000.

**(1 mark)**

*Impairment at 31 December 20X4*

| | **£'000** |
|---|---|
| Carrying amount | 2,850 |
| Recoverable amount | 2,170 |
| **Impairment loss** | 680 |

**(1 mark)**

*Allocation*

The intangible asset is not impaired (fair value less costs to sell of £700,000 exceed carrying amount of £600,000) and so the £680,000 is allocated pro rata across tangible assets only.

**(1 mark)**

Pro-rating of impairment = £680,000/£2,250,000 = 30.22%

**(1 mark)**

| | **Carrying amount £'000** | **Allocation of impairment £'000** |
|---|---|---|
| Properties (30.22% x £1,400,000) | 1,400 | 423 |
| Fixtures and fittings (30.22% x £500,000) | 500 | 151 |
| Other tangible non-current assets (30.22% x £350,000) | 350 | 106 |
| | 2,250 | 680 |

**(2 marks)**

The impairment loss will be recognised in the statement of profit or loss in the operating category.

**(1 mark)**

*Journal entry*

| | | £'000 | £'000 |
|---|---|---|---|
| Dr | SPL – impairment loss | 680 | |
| | Cr Properties – accumulated depreciation | | 423 |
| | Cr Fixtures and fittings – accumulated depreciation | | 151 |
| | Cr Other tangible non-current assets – accumulated depreciation | | 106 |

Being impairment of the training academy

**(2 marks)**

***Driving range***

Fair value less costs of disposal of the division = £900,000 + (£45,000 - £5,000) = £940,000

**(1 mark)**

Fair value less costs of disposal (£940,000) is higher than the carrying amount (£900,000) of the division and so the division overall is not impaired.

**(1 mark)**

However, the individual intangible asset must be considered separately as this is impaired. As cash flows from using the licence are deemed to be negligible, the recoverable amount is the fair value less costs of disposal.

**(1 mark)**

Fair value less costs of disposal = (45,000 - £5,000) = £40,000

**(1 mark)**

Impairment of intangible asset = £150,000 - 40,000 = £110,000

**(1 mark)**

| | | £'000 | £'000 |
|---|---|---|---|
| Dr | SPL – impairment loss | 110 | |
| | Cr Intangible asset – accumulated amortisation | | 110 |

Being impairment of the individual intangible asset

**(1 mark)**

**Total marks (17 marks)**

# Question 10: Solution

**Kizys plc**

***Requirement 1***

*Initial measurement*

The anticipated sale of the fibre optics division will be classed as an asset held for sale from 1 June in accordance with IFRS 5 Held for Sale Assets dn Discontinued Operations as the division becomes available for sale on this date, in its present condition, and the sale is highly probable.

**(1 mark)**

The high probability of the sale is evidenced in the board's decision to sell, the programme for location of a buyer being in place, a reasonable asking price and an expected sale within a year.

**(1 mark)**

On classification as an asset held for resale, the asset is valued at the lower of carrying amount and fair value less costs to sell.

**(1 mark)**

Any resulting impairment loss is recognised in the statement of profit or loss in the operating category. The impairment loss will be presented separately if it is considered to be material.

**(1 mark)**

No further depreciation is calculated in respect of the assets for resale and the asset is presented separately on the statement of financial position.

**(1 mark)**

While the fibre optics division is held for sale, it will also be classed as a discontinued operation on the statement of profit or loss as it represents a separate major line of business.

**(1 mark)**

| | **£'000** |
|---|---|
| Carrying amount at 1 June 20X4 | 15,800 |
| Fair value less costs to sell (£15,600,000 - £200,000) at 1 June 20X4 | 15,400 |
| **Impairment loss** | 400 |

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Non-current assets classified as held for sale | 15,400 | |
| Dr | SPL – impairment loss | 400 | |
| | Cr Property, plant and equipment – carrying amount | | 15,800 |

Being impairment loss on assets of the division transferred to non-current assets classified as held for sale

**(1 mark)**

*Subsequent measurement*

At 31 December 20X4, since the division has not yet been sold, the held for sale asset must be remeasured to the lower of carrying amount and the fair value less costs to sell at the reporting date.

**(1 mark)**

| | **£'000** |
|---|---|
| Carrying amount at 1 June 20X4 | 15,400 |
| Fair value of assets less costs to sell at 31 December 20X4 | 16,300 |
| Increase in value | 900 |
| **Reversal of impairment loss** | 400 |

**(1 mark)**

Any reversal of a previous impairment loss is restricted to the maximum of the cumulative amount of any previous impairment losses. A maximum reversal of £400k can therefore be recognised in the statement of profit or loss, presented in the operating category.

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Non-current assets classified as held for sale | 400 | |
| | Cr SPL – impairment loss | | 400 |
| Being reversal of impairment loss at year end | | | |

**(1 mark)**

*Sale (1 April 20X5)*

When the division is sold in 20X5, the gain or loss on disposal should be calculated. This will be presented in the discontinued operations category of the statement of profit or loss, netted against the profit or loss of the division to the date of disposal.

| | **£'000** |
|---|---|
| Carrying amount after reversal of impairment | 15,800 |
| Selling price less costs to sell | 18,700 |
| **Gain on disposal** | 2,900 |

**(1 mark)**

| | | **£'000** | **£'000** |
|---|---|---|---|
| Dr | Bank | 18,700 | |
| | Cr Non-current assets classified as held for sale | | 15,800 |
| | Cr SPL – gain on disposal (discontinued operations category) | | 2,900 |
| Being gain on disposal of non-current assets classified as held for sale | | | |

**(1 mark)**

**(14 marks)**

***Requirement 2***

**Kizys plc**
**Statement of financial position (extracts)**
**As at 31 December 20X4**

| | **£'000** |
|---|---|
| Non-current assets classified as held for sale | 15,800 |

**(1 mark)**

**Notes to financial statements (extracts)**

After a continued downturn in business operations of the fibre optics division, it was decided on 1 June 20X5 that the entire fibre optics division would be made available for sale. It is anticipated that a prospective buyer will be identified and the sale complete within the next 12 months.

**(1 mark)**

***Advise on other relevant disclosures***

The amount of recognised impairment loss or reversal will also be disclosed. In respect of Kizys, the loss has been created and reversed within the same accounting year, with no overall impact on the statement of profit or loss.

**(1 mark)**

A discontinued operations note will be required, which shall present the non-current asset classified as held for sale separately from other assets in the statement of financial position.

**(1 mark)**

**(4 marks)**

**Total marks (17 marks)**

# Question 11: Solution

**Dunk plc**

Cash-generating units

*Fair value less costs of disposal*

| | E | F | G |
|---|---|---|---|
| | **£'000** | **£'000** | **£'000** |
| Fair value | 400 | 440 | 180 |
| Costs of disposal (10%) | (40) | (44) | (18) |
| **Fair value less costs of disposal** | 360 | 396 | 162 |

**(1 mark)**

*Value in use and recoverable amount*

| | **£'000** | **£'000** | **£'000** |
|---|---|---|---|
| Value in use | 354 | 390 | 148 |
| FVLCOD | 360 | 396 | 162 |
| **Recoverable amount** | **360** | **396** | **162** |

**(1 mark)**

*Impairment*

| | **£'000** | **£'000** | **£'000** |
|---|---|---|---|
| Carrying amount | 394 | 389 | 178 |
| Recoverable amount | 360 | 396 | 162 |
| **Impairment** | 34 | - | 16 |

**(1 mark)**

Pro-rating of impairment for intangible asset = (£90,000 / £394,000) x £34,000 = £8,000

**(1 mark)**

Restriction on impairment of intangible asset = £90,000 - £88,000 = £2,000

**(1 mark)**

Impairment of property, plant and equipment = (£34,000 + £16,000) - £2,000 = £48,000

**(1 mark)**

Goodwill

| | **£'000** |
|---|---|
| Carrying amount of cash-generating units | 961 |
| Impairment of cash-generating units (£34,000 + £16,000) | (50) |
| Goodwill | 85 |
| Carrying amount prior to impairment of goodwill | 996 |
| Recoverable amount of cash-generating units | 980 |
| **Impairment of goodwill** | 16 |

**(1 mark)**

| | | | £'000 | £'000 |
|---|---|---|---|---|
| Dr | SPL – impairment loss (£34,000 + £16,000 + £16,000) | | 66 | |
| | Cr | Goodwill | | 16 |
| | Cr | Property, plant and equipment – accumulated depreciation | | 48 |
| | Cr | Intangible asset – accumulated amortisation | | 2 |

Being impairment of non-current assets

**(1 mark)**

**Total marks (8 marks)**